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1	Beltran vs. MSC Development, Inc. 2025-01468903	Demurrer to Amended Complaint The general demurrer by Defendants MSC Development, Inc. and Stephen Patric Silva (collectively, “Defendants”) to the three causes of action alleged in the First Amended Complaint (“FAC”) filed by Plaintiffs Jesus Beltran, Jaime Romero, and Brandie Beltran (collectively, “Plaintiffs”) is overruled in part and sustained in part with leave to amend. As an initial matter, the Court notes Defendants’ proofs of service for their demurrer, supporting declaration, and reply did not include the server’s email address. (Code Civ. Proc., ¶ 1013b, subd. (b)(1).) The Court reminds the parties of their obligation to comply with CCP section 1013b when electronically serving documents. Statute of limitations Defendants demur to all three causes of action on the ground that they are time-barred. “In order for the bar of the statute of limitations to be raised by demurrer, the defect must clearly and affirmatively appear on the face of the complaint; it is not enough that the complaint shows that the action may be barred.” (<i>Marshall v. Gibson, Dunn & Crutcher</i> (1995) 37 Cal.App.4th 1397, 1403.) The parties do not dispute that the three year statute of limitations under CCP section 338 applies to the first cause of action for rescission and restitution. Plaintiffs contend section 337.15 also applies to this cause of action, but that the shorter time limit in section 338 applies. (<i>Liptak v. Diane Apartments, Inc.</i> (1980) 109 Cal.App.3d 762, 769.) The applicable statute of limitations is CCP section 337, subdivision (c), which provides a four year statute of limitations for an action based on upon the rescission of a written contract. Section 337, subdivision (c) provides as follows:

		An action based upon the rescission of a contract in writing. The time begins to run from the date upon which the facts that entitle the aggrieved party to rescind occurred. Where the ground for rescission is fraud or mistake, the time shall not begin to run until the discovery by the aggrieved party of the facts constituting the fraud or mistake. Where the ground for rescission is misrepresentation under Section 359 of the Insurance Code, the time shall not begin to run until the representation becomes false. The parties do not dispute CCP section 338 applies to the second cause of action for fraud and the third cause of action for negligence. Regardless of which statute of limitations applies, the FAC on its face does not show the claims are time barred. Plaintiffs seek both rescission and damages resulting from Defendants’ alleged fraudulent promises and representations, which form the basis of this cause of action. Accordingly, the four-year statute of limitations in section 337 applies. (<i>See, Ferguson v. Yaspan</i> (2014) 233 Cal.App.4th 676, 683.) “A cause of action for fraud accrues when the aggrieved party discovers the facts constituting the fraud.” (<i>Austin v. Medicis</i> (2018) 21 Cal.App.5th 577, 588.) “The courts interpret discovery in this context to mean not when the plaintiff became aware of the specific wrong alleged, but when the plaintiff suspected or should have suspected that an injury was caused by wrongdoing. The statute of limitations begins to run when the plaintiff has information which would put a reasonable person on inquiry.” (<i>Kline v. Turner</i> (2001) 87 Cal.App.4th 1369, 1374.) The FAC does not show on its face that the three causes of action are time barred. Plaintiffs allege they entered into the purchase agreement on January 21, 2019, Defendants delivered possession of the Subject Property to Plaintiffs on or about April 3, 2019, Defendants knew about the mold infestation prior to the completion of the sale, but did not disclose the mold infestation to Plaintiffs, Defendants covered up the mold infestation, Plaintiffs discovered they were suffering injuries resulting from mold infestation within the last two years, and that Plaintiffs discovered the mold infestation on or about April 3, 2024, and that Plaintiffs removed portions of the coverings which concealed the existing mold due to their children’s ongoing respiratory difficulties and unexplained rashes. (FAC, ¶¶ 6-8, 10-17.)
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		Plaintiffs commenced this action on March 20, 2025. Although Defendants referenced the filing date of the FAC, the action commenced on March 20, 2025. Even without considering the tolling of the statute of limitations by Emergency Rule 9, the FAC is not time barred on its face. Accordingly, the demurrer to the three causes of action on the ground that they are time barred is overruled. Reasonable reliance Defendants also contend Plaintiffs did not allege sufficient facts to show reasonable reliance. Plaintiffs did not address whether they sufficiently alleged reasonable reliance in their opposition. Plaintiffs’ third cause of action appears to allege both false promise and intentional misrepresentation. (FAC, ¶¶ 23 and 24.) “The elements of fraud, which give rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or ‘scienter’); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.” (<i>Lazar v. Superior Court</i> (1996) 12 Cal.4th 631, 638.) The essential elements for intentional misrepresentation are (1) a misrepresentation, (2) knowledge of falsity, (3) intent to induce reliance, (4) actual and justifiable reliance, and (5) resulting damage. (<i>Chapman v. Skype Inc.</i> (2013) 220 Cal.App.4th 217, 230-231.) The elements of promissory fraud or fraud in the inducement are (1) the defendant made a promise to the plaintiff, (2) at the time the promise was made, the defendant did not intend to perform the promise; (3) the defendant intended to cause the plaintiff to rely on the promise; (4) the plaintiff reasonably relied on the promise; and (5) the plaintiff was harmed as a result. (<i>Lazar v. Sup. Court</i> (1996) 12 Cal.4th 631, 638-639; <i>Muraoka v. Budget Rent-A-Car, Inc.</i> (1984) 160 Cal.App.3d 107, 119.) Plaintiff may show reliance is reasonable by showing that the matter was material in the sense that a reasonable person would find it important in determining how he or she would act and it was reasonable for the plaintiff to have relied on the misrepresentation. (<i>Hoffman v. 162 North Wolfe LLC</i> (2014) 228 Cal.App.4th 1178, 1194.) A plaintiff’s particular knowledge and experience should be considered in determining whether the reliance upon the misrepresentation or nondisclosure was justified. (<i>Id.</i>; see, <i>Gray v. Don Miller & Associates, Inc.</i> (1984) 35 Cal.3d 498, 503 [“Whether reliance is justified is a question of fact for the determination of the
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		trial court; the issue is whether the person who claims reliance was justified in believing the representation in the light of his own knowledge and experience.”].) Plaintiff did not allege sufficient facts to show reasonable reliance. Demurrer is sustained with 15 days leave to amend. Defendant to give notice. Case Management Conference 11-2-26 at 9:00 a.m.
2	Deharo vs. Kola Hotel, LLC 2024-01419171	Motion for Leave to Amend Plaintiff Almadelia Deharo’s (“Plaintiff”) motion for leave to file amended complaint is granted. Plaintiff moves for an order permitting her to file a proposed second amended complaint. Plaintiff contends the amendments are necessary to “clarify allegations” against newly added defendants, which she alleges are “alter egos” of other defendants, and to add allegations that Defendant Kola Hotel, LLC did not have Workers’ Compensation insurance during the subject incident. Motions for leave to amend pleadings are directed to the sound discretion of the court. “The court may, in furtherance of justice, and on any terms as may be proper, allow a party to amend any pleading.” (Code Civ. Proc. § 473, subd. (a)(1); see also Code Civ. Proc., § 576 [“Any judge, at any time before or after commencement of trial, in the furtherance of justice, and upon such terms as may be proper, may allow the amendment of any pleading or pretrial conference order”].) The court’s discretion will usually be exercised liberally so as not to deprive a party of the right to assert a meritorious cause of action or defense. The policy favoring amendment is so strong that denial of leave to amend can rarely be justified: “If the motion to amend is timely made and the granting of the motion will not prejudice the opposing party, it is error to refuse permission to amend and where the refusal also results in a party being deprived of the right to assert a meritorious cause of action or a meritorious defense, it is not only error but an abuse of discretion.” (<i>Morgan v. Superior Court</i> (1959) 172 Cal.App.2d 527, 530.)